

Asset owners with real estate investments should start with urban economics as their foundation (no pun intended). Urban economics allows us to:

1. Understand macro factors

Economic models are especially good at explaining how endogenous variables—which in this context are real estate prices, where people live, and how much housing they consume—are determined from exogenous variables, like geography, or slow-moving conditions like productivity levels. Economic models give insight into the fundamentals behind prices, including aggregate demand factors and supply restrictions. The emphasis on the macro drivers is especially important because real estate holdings are long-horizon investments, with a median holding period for individual institutional properties of over a decade.²⁹

2. Place real estate in its context

Real estate prices, like all prices, are determined in equilibrium. I live in New York City where real estate prices are high, average wages are high, and the cost of living is high. From the point of view of a worker, the high wage is good. From the point of view of an employer, the high wage is bad. Why don't firms shift away from New York and lower their wage bill? In equilibrium real estate prices can be high and wages can be high only if the city enables all workers and firms to be jointly more productive. What creates this productivity? What sustains it? What will cause the productivity to disappear? Real estate can only be understood as part of an economic whole.

3. Evaluate policy

Government policy matters in equity and fixed income markets (see chapters 8 and 9, respectively), but in real estate, policy is crucial. The value of real estate cannot be divorced from the regulations governing its use. Economic models are especially good at measuring the effects of exogenous policy changes (through *comparative statics* exercises). An extremely important determinant of real estate prices is the supply of real estate. In the “superstar cities,” which include San Francisco, Boston, and the like clustered on the coasts, the supply of new housing and office space is more tightly restricted by regulation.³⁰ This creates scarcity, which drives up prices. Atlanta, on the other hand, has few supply restrictions, and real estate prices are low compared to cities on the coasts. Government policy matters from city to city, but it is as important in determining real estate prices within cities. If policy regarding supply is changed, all else equal, economic models allow us to predict which areas benefit and which areas suffer and by how much.

²⁹ Fisher and Young (2000) report a median sale period of eleven years for the properties in the National Council of Real Estate Investment Fiduciaries (NCREIF) database.

³⁰ See Glaeser and Ward (2009). The “superstar cities” of Gyourko, Mayer, and Sinai (2012), alas, do not include New York because of the limited data availability of their sample, which starts in 1950.